VEEVA SYSTEMS INC VEEV

July 09, 2026 - 5:38pm EST
by Lyncroft

			2026	2027
Price:	189.00	EPS	0	0
Shares Out. (in M):	165,989	P/E	0	0
Market Cap (in $M):	31M	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Manchu last wrote up Veeva on VIC on 11/22/2025. That pitch provides useful background.

Veeva is a high-quality vertical software company being valued like its best days are behind it.

At roughly $190 per share, Veeva has a market cap of about $31.5 billion. The company ended April with approximately $7.3 billion of cash and no debt. Management guided to FY 27 revenue of $3.64 billion (at the midpoint) and approximately $1.61 billion of non-GAAP operating income. Net of cash, the stock trades around 15x FY27 non-GAAP operating income.

That multiple is too low for a founder-led vertical software company growing revenue mid-teens with 40%+ non-GAAP operating margins. It is much too low if Veeva can turn its workflow position into a regulated labor automation platform.

The Market is Focused on CRM Which is Increasingly Irrelevant to the Story

The market is focused on CRM risk associated with Veeva moving customers from Salesforce-based Veeva CRM to Vault CRM. Salesforce has won some large biopharma decisions and that transition will remain noisy. But Veeva is no longer a CRM story. CRM Suite was roughly 75% of revenue ten years ago, is about 20% today, and Veeva expects it to be about 10% by 2030.

The company says it remains on track for a $6 billion total company revenue run-rate goal in 2030.

The better business within Veeva is R&D and Quality. In Q1 FY27, R&D and Quality subscription revenue was $392 million, up 19% year over year. Commercial subscription revenue (where CRM sits) was $338 million, up 11%. For FY27, Veeva expects about $1.665 billion of R&D and Quality subscription revenue versus about $1.395 billion of Commercial subscription revenue.

Veeva Owns the Right Workflows

Veeva already sits inside the regulated workflows that drug companies use to run trials, manage submissions, control quality documents, process safety cases, and review commercial content. These workflows require approved documents, current versions, permissions, metadata, SOPs, electronic signatures, audit trails, and inspection history.

Veeva’s right to win comes from workflow proximity. The company has spent almost two decades embedding itself in life-sciences operating processes. Veeva says all top 20 biopharmas have selected Veeva eTMF, 19 of the top 20 have selected Veeva QualityDocs, and 18 of the top 20 have selected Veeva Submissions. It also said in 2023 that more than 450 companies used Vault eTMF.

Veeva has the application depth, customer relationships, source documents, permissioning, and audit history needed to compete for the agentic layer.

Veeva's AI Option: Falcon

In May 2026, Veeva announced Falcon, an agentic platform for drug development. The initial use cases are narrow: trial master file document intake and quality control, health-authority correspondence, and safety case triage and intake. Early-adopter availability is planned for November 2026.

Falcon gives Veeva a credible path to price against work performed, not just software seats sold.

Veeva is focusing Falcon on repetitive, document-heavy, compliance-heavy workflows. They are expensive to run manually and hard for generic AI tools to automate safely because the tool needs workflow context, user permissions, current documents, customer-specific rules, and an audit trail.

Copli and Ostro Reinforce the Strategy

In June 2026, Veeva acquired Copli and launched Veeva Falcon MLR. Copli automates medical, legal, and regulatory review of promotional and medical content. Veeva says Falcon MLR can check materials against approved labels and local regulations and has the potential to eliminate 70% or more of manual MLR labor within five years.

That is the commercial version of the same thesis. Regulated review work sits on top of Veeva content. If Veeva can automate the work, it can charge for labor saved rather than just access provided.

Veeva also acquired Ostro, an AI-driven life-sciences brand engagement platform. Ostro gives patients and physicians compliant answers from approved materials, and Veeva says it is already used by more than 50 brands. Vault AI is also on track to expand to all Vault

applications.

Management Alignment and Credibility

Peter Gassner remains a real asset. He co-founded Veeva in 2007 and still runs the company. He beneficially owns 15.6 million shares, or 9.4% of the company. His compensation is unusually aligned. The board has emphasized long-term stock options over cash, and his 2024 CEO option grant has a $236.90 exercise price and is intended to be his only equity compensation until at least 2030. He does not participate in an annual incentive plan and, apart from a below-market salary, has not been paid cash compensation since the IPO.

Gassner has a strong history of meeting his long term goals. Veeva laid out a $1 billion revenue run-rate goal in 2015 and passed it in 2019, ahead of schedule. In 2019 he laid out a $3 billion 2025 revenue run-rate goal which again they beat. At the end of 2024 they laid out a 2030 goal of $6 billion in revenue.

Valuation

The base business alone supports a solid return. If Veeva reaches its $6 billion 2030 revenue run-rate goal and earns a high-30s non-GAAP operating margin, it would produce roughly $2.3 billion of non-GAAP operating income. After tax, that is about $1.8 billion of earnings power. A low-20s multiple plus current cash supports an equity value of roughly $45–50 billion, or about $275–300 per share. That is 45–60% upside without giving Falcon much credit.

Falcon creates the chance for a much better outcome. If Falcon becomes a $500 million high-margin business, it can likely add $5–7 billion of equity value. If it becomes a $1 billion regulated labor platform, it could add $10 billion or more of value. That moves the stock from a base-case $275–300 outcome toward $330 in a good case and $400+ in a bull case.

Risks

The main risk is that Veeva fails to own the agentic layer. AI-native startups could own that layer while Veeva remains the system of record underneath it. That would still leave Veeva with a good software business, but it would cap the AI upside and likely erode pricing power over time.

The defense is that regulated agents need more than a model. They need the current document, the right workflow state, the user’s permissions, the customer’s rules, and evidence for auditors. Veeva has those assets because customers already run critical workflows inside Veeva.

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Catalyst

1. Falcon early-adopter availability in November 2026;
2. Evidence that customers will pay for labor saved rather than treating AI as bundled functionality;
3. Reaccelration in revenue on the path to the $6 billion 2030 goal

Messages

Subject Agree
Entry 07/09/2026 08:53 PM
Member JSJS2020

I was going to post a write-up on Veeva, but you beat me to it. Agree with you on the main points. Prior to the Falcon agentic AI, it was already a great business (and great management) at a fair price. Excited to see Falcon AI become an accretive growth driver, which doesn't seem to be priced in right now.

Also, agree that the CRM competition concern was overblown. Rather, their EDC and Crossix/Commercial Data business were more critical to further growth, although they face strong competitors in those areas. With Falcon AI, if successful, there is less pressure on EDC and Crossix to carry much of the growth.

Still, I was curious if you have any thoughts on EDC and Crossix?

Subject Re: Agree
Entry 07/10/2026 10:44 AM
Member Lyncroft

Broadly bullish on both offerings. Crossix in particular seems to have real momentum. Re: EDC I think there are advantages to streamlining clinical, safety, regulatory and quality on a single platform, especially if Falcon works, and Veev seems to have most breadth across all of those areas.

Subject Margin target
Entry 07/13/2026 12:35 PM
Member madler934

Do you worry about their plan to drop op margins to 35% in the name of a faster innovation cadence?

Subject Re: Margin target
Entry 07/13/2026 01:59 PM
Member Lyncroft

They have stated that 35% is the floor not a long range margin goal. I think margins will remain ~40% or higher

Subject Re: Re: Margin target
Entry 07/13/2026 02:56 PM
Member madler934

thats still 500bps below consensus for fy28 fy29

Subject Re: Re: Re: Margin target
Entry 07/13/2026 03:44 PM
Member Lyncroft

I think consensus has SBC expanding much more aggressively than I'm modeling, and they are adding it back into adjusted operating margin. I could be wrong.